expected the government Director attending the meeting to be in a position to explain government's ideas regarding nationalization. Similar considerations applied in the case of the Imperial Bank. However, in the end the resolution did not come up before the Legislature for consideration.[6]

The clamour for nationalization of the Reserve Bank, however, did not become less shrill. On February 18, 1947, Tamizuddin Khan moved a resolution in the Legislative Assembly recommending to the Governor General in Council that the RBI be taken over by the government, converted into a State Bank and run as such. Tamizuddin Khan was not dissatisfied with the working of the bank but thought that the monetary organization of the country should be a national concern and should not be confined to a limited number of shareholders 'who are none but capitalists'.[7]

This resolution seems to have had the strong support of both the Congress and the Muslim League. The most severe criticism of the working of the bank came from Manu Subedar, who accused the bank of having failed to carry out 'functions of a constructive character' which were entrusted to it. According to him, the bank had failed to create a discount market and a bill market in the country, to abolish remittance charges and to make recommendations to the government for a permanent basis for the Indian monetary system and permanent measures for a monetary standard. The other members who spoke in favour of the resolution criticized the bank for not assisting small banks and for doing practically nothing in the field of agricultural credit. Reference was also made by members to the tendency of the bank's shares to concentrate in one part of the country and in the hands of 'a smaller and smaller public'.

K.G. Ambegaokar, Joint Secretary, Finance Department, defended the bank in the debate. The Finance Member, Liaquat Ali Khan, felt that when allegations were made against the bank, it was only fair that its point of view should be placed before the House. While concluding the debate, the Finance Member observed that it was evident that there was a general desire for the nationalization of the bank, and while the government was in favour of nationalizing any institution if such a step was of benefit to the country, they would study carefully and sympathetically the proposition contained in Tamizuddin Khan's resolution. In the light of the Finance Member's statement, Tamizuddin Khan withdrew his resolution.[8]